PROS AND CONS OF A FINANCIAL ADVISOR

Pros	Cons
A financial advisor assesses their client's circumstances and identifies mortgage, pension, and investment products that best meet their financial goals. This is useful for people who do not have time to research markets. It is possible to take action against an advisor if poor advice was given or a person feels that a product has been mis-sold.	Financial advisors have a limited role and do not advise on day-to-day money issues, such as finding the best savings rates or reducing household expenses, but this information can be easily found in newspapers or online. Financial advice can also be expensive—advisors might charge an hourly fee or based on commission—or both.

52% number of pre-retirees who use a financial advisor

Manage debt
Pay off credit cards and loans as quickly as possible. Look for cheaper interest rates that can bring down the cost of loans and that can also help reduce mortgage debt more quickly. *See pp.156–157*

Use investment payouts
When investments produce additional income, use the funds to reduce any debt, as well as reinvesting to build up assets. *See pp.160–161*

Financial independence
Effective investment over a lifetime builds up wealth or passive income. If successful, an individual can maintain a good standard of living without the need to work.